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## How LEGO Rebuilt Its Success: A Strategic Turnaround

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Strategic Analysis

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## **1. Introduction to the Strategic Challenge**

Founded in 1932 by Ole Kirk Christiansen, LEGO has massively grown into a global Danish toy manufacturer brand known for its interlocking plastic bricks and creative playsets (LEGO Group, 2025). However, by the early 2000s, the company was grappling with a severe financial crisis. This result was largely attributed to an overambitious diversification strategy that had led to cost overruns and a dilution of the brand's focus (Rivkin & Thomke, 2013). There was now a daunting challenge faced by Lego – *how could it keep its core competencies while addressing the rapidly changing toy industry landscape?*

## **2. Industry Analysis**

In the early 2000s, the toy industry was characterized by several significant trends that posed challenges to LEGO and other manufacturers. Firstly, there was a shift in children's preferences towards technology-based toys and digital games, reducing demand for the previous *traditional toys* (Rivkin & Thomke, 2013). Secondly, the industry also experienced a decline in birth rates in key markets like Western Europe and North America. As a direct result, it led to a decrease in the overall demand for toys (LEGO Group, 2004). Lastly, the rise of discount retailers and online shopping platforms forever changed the retail landscape – as it put pressure on toy manufacturers to offer competitive prices and adapt to new changes.

LEGO's strategy then needed to account for these industry dynamics. The company's diversification into areas such as theme parks, video games, and eventually other licensed products was an attempt to broaden its market reach. However, this diversification strategy led to increased complexity and tied-up expenses, which were not ultimately sustainable in the face of changing consumer preferences and market conditions (Brick Hobbyist).

### 3. Description of the company

Like previously mentioned, LEGO is renowned for its plastic building toys, especially the iconic colored bricks. Since its inception, the company has highly prioritized its quality and creativity in both product design and manufacturing. LEGO excels at encouraging creativity and learning through play with products designed for all ages. Even after a rough patch financially in the early 2000s, LEGO has bounced back and remains a top player in the toy market (Brick Hobbyist).



### 4. Analysis of Corporate Strategy

In the early 2000s, LEGO faced a significant crisis and was nearly one-step away from bankruptcy due to misuse of ‘corporate strategy’, or specifically ‘over-diversification’. This led the business to operational inefficiencies and huge financial losses of approximately 800 million USD! So, how did it do this? Lego, historically known for its iconic plastic bricks, expanded into numerous product lines outside of its core competence.

LEGO had over-implemented diversification into areas such as theme parks (Legoland), children's clothing, watches, video games, and even educational robotics kits (LEGO Mindstorms), which accumulated to a record loss of DKK 1.93 billion (approximately USD 353 million) in 2004 (Rivkin, Thomke, & Beyersdorfer, 2013, p.6–7). While these moves *were indeed* aimed at leveraging the LEGO brand and tapping into new markets, it seemed to have negatively affected them. The diversification caused LEGO to lose focus on what made it successful – its system of imaginative play. As a result, many of these new products failed to gain profitability – causing a major issue for the company.

## **5. Strategic Analysis of Potential Solutions**

### ***If We Were Lego Executives In This Situation:***

If we (as top executives in LEGO) were making decisions at LEGO back in 2004, with the company grappling with significant debt and declining profits, we would need to quickly evaluate how to tackle the issues stemming from over-diversification. As such, two strategic options stand out:

First, we would suggest selling off non-core and unprofitable segments (reviewing the financial data), including the theme parks, apparel, and publishing. This move would help lighten the financial load and simplify operations. By focusing on the core business of the modular brick system, which is LEGO's main strength, the company could quickly regain financial stability (Rivkin, Thomke, & Beyersdorfer, 2013). Additionally, reducing the number of product lines would also enhance supply chain efficiency and clarify the brand's identity.

Second, rather than completely abandoning diversification, we could potentially explore other routes. This could involve branching or investing into areas that are closely related with LEGO's operations – allowing for a passive approach. This approach would again align with

LEGO's brand identity and core strengths – yet allowing for sustainable growth over the long haul.

In the end, our strategy would focus on achieving a balance between urgent short-term recovery and strong long-term positioning: making immediate divestments to stabilize the company. Of course, more context is ought to be needed depending on the issue – which would help us further cut down to the main root.

***The Actual Outcome (In Reality):***

In 2004, CEO Jorgen Vig Knudstorp (from 2004 - 2016) refocused LEGO on its core product – the LEGO brick. He scaled back on peripheral ventures and simplified product lines, which reduced the number of components. LEGO also outsourced manufacturing – cutting unneeded costs and improving efficiency. Knudstorp also implemented stricter financial controls to ensure resources were directed to profitable products.

Then, these strategic changes allowed LEGO to regain financial stability. By focusing on its core product and reducing unnecessary complexity, LEGO was able to reduce operational costs and improve its supply chain efficiency. Over a long-term period, this approach enabled LEGO to re-align its business strategy with its strengths, recovering from the crisis and positioning itself as a dominant leader in the global toy market once again.

**6. Discussions and Implications**

The lesson learned from LEGO's experience is that diversification in business is risky and may not always succeed. While expanding into new markets and product lines can seem like a 'get rich quick' strategy, it doesn't always guarantee success and high revenues. LEGO's over-diversification led to a dilution of brand identity – losing loyal and new consumers alike. To fund these new operations, complexities emerged in manufacturing and inventory management.

In conclusion, the LEGO case demonstrates that diversification, if not carefully aligned with a company's core competencies can negatively affect its performance. To successfully integrate, a smart sequential execution and financial literacy must be thoroughly conducted. When companies expand into untapped fields, most of the time they often fail to leverage their established strengths. In LEGO's case, the company had to scale back its expansion into non-core areas and return to its roots – focusing on what it did best: creating high-quality and imaginative play systems.

For management across all businesses, the LEGO lesson emphasizes the importance of considering the potential drawbacks of not only over-diversification – but all strategies. Companies should evaluate whether new ventures align with their core competencies and whether the benefits outweigh the risks (e.g. performing a better-off test + ownership test). In many cases, staying true to a company's core strengths is the most effective strategy for long-term success!

## References

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